(d) *Evidence required to establish exemption*—(1) *In general.* To establish that a sale of a musical instrument is exempt from the tax imposed by section 4151, it is necessary that the manufacturer obtain from the purchaser and retain in his possession a properly executed exemption certificate in the form prescribed by subparagraph (4) of this paragraph.

(2) *Sales covered by certificates; records.* Where only occasional sales of musical instruments for exempt use are made to a purchaser, a separate exemption certificate should be furnished for each order. However, where sales are regularly and frequently made to a purchaser for exempt use, a certificate covering all orders for a specified period not to exceed 4 calendar quarters will be acceptable. Such certificates and proper records of invoices, orders, etc., relative to tax-free sales must be kept for inspection by the district director as provided in section 6001.

(3) *Evidence required to establish that the purchaser is a religious or nonprofit educational institution*—(i) *Churches.* In the case of a church, no evidence is necessary to establish the fact that such an institution is a religious institution.

(ii) *Other religious institutions or nonprofit educational institutions.* In the case of a religious institution other than a church and in the case of a nonprofit educational institution, a properly executed exemption certificate showing that the institution has received a determination letter from a district director or a ruling from the Commissioner holding the institution—

(*a*) To be a religious institution or a nonprofit educational institution of the type described in section 501 (c) (3), and

(*b*) Exempt from income tax under section 501 (a) or not entitled to exemption from income tax under section 501 (a) by reason of the provisions of section 503, relating to prohibited transactions, or section 504, relating to accumulations out of income,

(or that it has received such determination letter or ruling under the corresponding provisions of prior revenue laws) is acceptable to support a tax-free sale thereto. The exemption certificate must show the date of such determination letter or ruling and that such determination letter or ruling is still in effect and has not been withdrawn or revoked. Where the exempt character of the institution has not been established by a determination letter or ruling, or in some other manner as previously indicated in this section, the institution, in order to enable the manufacturer to establish his right to sell tax free, may apply to the district director for the district in which its principal office is located for a determination of its status. Application for a determination should be made by filing Form 1023 with such district director. Copies of the form and instructions as to the appropriate procedure to be followed in filing it may be obtained from the appropriate district director.

(4) *Acceptable form of exemption certificate.* The following form of exemption certificate will be acceptable for the purposes of this section and must be adhered to in substance:

EXEMPTION CERTIFICATE

(For use by a religious or nonprofit educational institution purchasing musical instruments subject to tax under section 4151 of the Internal Revenue Code of 1954 for exclusively religious or educational purposes.)

----------, 19--
(Date)

The undersigned hereby certifies that he is

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(Title)

of ---------- and
(Religious or nonprofit educational institution)

is authorized to execute this certificate; and that the musical instruments specified in the accompanying order or on the reverse side hereof are purchased by such institution for exclusively religious or educational purposes.

It is understood that this exemption certificate is for use only by a religious or nonprofit educational institution in the tax-free purchase of musical instruments for exclusively religious or educational purposes; and it is agreed that if the musical instruments purchased tax free are used otherwise than as set forth in this certificate, such fact will be reported to the manufacturer, producer, or importer from whom the instruments were purchased tax free.

The institution (if other than a church) claiming exemption under this certificate has received a determination letter or ruling from the Internal Revenue Service holding the institution (1) to be a religious or nonprofit educational institution of the type described in section 501 (c) (3) of the Internal Revenue Code of 1954, and (2) exempt from income tax under section 501 (a) thereof or not entitled to exemption from income tax under section 501 (a) by reason of the provisions of section 503 or 504 of such Code, relating to prohibited transactions and to accumulations out of income, respectively (or corresponding provisions of prior revenue laws). The date of such determination letter or ruling is ---------- and such determination letter or ruling has not been withdrawn or revoked.

The undersigned also understands that the fraudulent use of this certificate for the purpose of securing this exemption will subject him and all guilty parties to a fine of not more than $10,000, or to imprisonment for not more than five years, or both, together with costs of prosecution.

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(Signature)

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(Address)

(5) *Evidence required to establish that the musical instrument is purchased for exclusively a religious or educational purpose.* In the absence of circumstances indicating a different use, the exemption certificate procured by the manufacturer from the purchasing religious or nonprofit educational institution will be acceptable as prima facie proof that the musical instrument is purchased for exclusively a religious or educational purpose.

(e) *Exemption certificate not obtained prior to filing of manufacturer's excise tax return.* If the sale is otherwise exempt but the exemption certificate is not obtained prior to the time the manufacturer files a return covering taxes due for the period during which the sale was made, the manufacturer must include the tax on such sale in his return for that period. However, if the certificate is later obtained, a claim for refund of the tax paid on such sale may be filed on Form 843, or a credit for such amount may be taken upon a subsequent return, as provided by section 6416(b)(2).

**§ 40.4152–2 Other tax-free sales.**

For provisions relating to tax-free sales of musical instruments, see—

(a) Section 4220, relating to sales or resales to manufacturers for further manufacture;

(b) Section 4222, relating to sales for use as supplies for certain vessels and airplanes;

(c) Section 4224, relating to articles sold for the exclusive use of a State or local government; and

(d) Section 4225, relating to sales for export;

as applicable to sales made prior to January 1, 1959.

[F.R. Doc. 59–3349; Filed, Apr. 21, 1959; 8:45 a.m.]

# Title 43—PUBLIC LANDS: INTERIOR

## Chapter I—Bureau of Land Management, Department of the Interior

APPENDIX—PUBLIC LAND ORDERS

[Public Land Order 1834]

## CALIFORNIA

### Revoking in Whole or in Part Executive Orders Which Withdrew Certain Unsurveyed Islands Off Coast of California for Military and Lighthouse Purposes

By virtue of the authority vested in the President by section 1 of the Act of June 25, 1910 (36 Stat. 847; 43 U.S.C. 141) and otherwise, and pursuant to Executive Order No. 10355 of May 26, 1952, it is ordered as follows:

1. The Executive order of October 25, 1867, so far as it withdrew the following-described unsurveyed islands off the coast of California for military purposes; Executive Order No. 3893 of August 13, 1923, to the extent that it placed the islands under control of the Secretary of the Interior for disposition as provided by the Act of July 5, 1884 (23 Stat. 103), and Executive Order No. 4099 of November 7, 1924, which withdrew the islands under the jurisdiction of the Department of Commerce for lighthouse purposes, are hereby revoked:

SACRAMENTO 056613

The Sisters Island consisting of two islands near Point San Pedro, approximately in Sec. 30, T. 2 N., R. 5 W., M.D.M.

2. The Executive order of November 2, 1876, which withdrew the following-described unsurveyed island off the coast of California for lighthouse purposes is hereby revoked:

SACRAMENTO 056614

Whaler's Island, in San Luis Obispo Bay, approximately in T. 32 S., R. 11 E., M.D.M.

3. The Executive order of May 10, 1867, which withdrew the following-